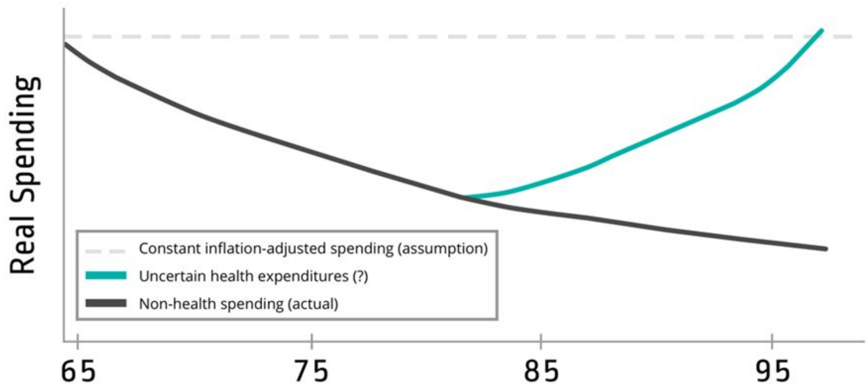
spend more as they enjoy traveling, eating out, and other types of discretionary expenses. As they continue to age, retirees tend to slow down and spend less. However, while discretionary expenses are declining, health costs tend to rise, and at some point later in retirement, these rising health costs offset reductions in other spending categories. Exhibit 5.19 provides a further illustration of this process.

Exhibit 5.19

Understanding the Path of Real Retirement Spending by Age



The assumption of constant inflation-adjusted spending, according to Blanchett's article, will lead individuals to oversave for retirement. The easiest way to understand this is to simply explore historical sustainable spending rates for different retirement spending patterns. In Exhibit 5.20, I provide the time path of historical sustainable spending rates for both constant inflation-adjusted spending and the retirement spending smile I showed in Exhibit 5.18. As seen earlier, for a thirty-year retirement and 50/50 portfolio, 4.03 percent represents the historical worst-case sustainable spending rate using Bengen's preferred data set. With the spending smile, the initial spending rate can increase to account for subsequent spending declines. In this case, the worst-case initial spending rate rose to 4.73 percent. For retirees basing their spending on these historical worst-case numbers, the retirement smile pattern would allow retirement to begin with almost 15 percent less accumulated wealth than otherwise on account of this higher sustainable withdrawal rate. This makes clear that retirement spending patterns are an important component of deciding on a sustainable spending rate. Constant inflation-adjusted spending is a simplifying and conservative assumption.